

Axion — Renewable Energy Tax Research

Trigger 9 | APC 2026 September Qualifying Exam | Axion Digital Infrastructure (Pty) Ltd | Document 7, page 20

Organised by investment option, not by section of the Act. Document 7 puts four renewable options in front of the board. Each has its own part of this document, and each part is **complete on its own**. Legislation is deliberately repeated where it applies to more than one option, so that if the task on the day names a single option you can turn to one part and work only from it.

Left column, black — the legislation, paraphrased. **Right column** — [applied to Axion, in blue, with a worked number](#).

[\[WAITING FOR INPUT — information on the day\]](#) marks a fact the pre-release does not give. The law is still applied on an assumed figure, so on the day you substitute one number and the answer falls out.

The trigger is income tax. The CFO asks you to familiarise yourself with the **income tax considerations** and points at a SARS **income tax** guide. Each part is therefore almost entirely income tax. VAT, dividends tax, carbon tax and the deferred tax consequence are dealt with **briefly, in a single table at the end of each part**, so they are available without crowding out the main analysis.

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Rate card — verified rates for 2026/27

Item	Rate	Note
Corporate income tax	27%	Years ending on or after 31 March 2023. Unchanged in the February 2026 Budget
Dividends tax	20%	Unchanged
CGT inclusion rate — company	80%	Effective CGT rate 21.6%
VAT	15%	Standard rate
s12B — renewable plant	50 / 30 / 20	Over three years. Not apportioned
s12B — PV solar not exceeding 1MW	100%	Full write-off in year brought into use
s12BA — enhanced allowance	125%	EXPIRED. Brought into use before 1 March 2025 only
s12U — roads and fences	100%	In year incurred. Only where generation exceeds 5MW
s12L — energy efficiency	95c per kWh	Verified savings. Extended to 31 December 2030
s12C — manufacturing plant	40 / 20 / 20 / 20	Not relevant to Axion — Axion carries on no process of manufacture
s13quin — commercial buildings	5%	New and unused buildings and improvements
s20 — assessed loss set-off	Higher of R1m or 80%	Of taxable income

The SARS sources the CFO pointed you at

Document 7 links to the SARS income tax guides page and names one guide. That guide — IT39, issued 23 November 2024 — has been read, and the technical content in Part 2 now follows it. Its own cross-references are listed below.

Reference	Publication	What it gives you
IT39	Guide on the Allowances and Deductions Relating to Assets Used in the Generation of Electricity from Specified Sources of Renewable Energy — 23 November 2024	The guide the CFO links to by name. Covers s12B(1)(h) and (i) , s12BA and s12U : qualifying criteria, the sources, ownership and accession, first use, the trade requirement, foundations, improvements, cost, the calculations, the prohibitions, and the interaction with s11(e) , s11(o) , s8(4)(a) , s8(4)(nA) and the Eighth Schedule.
IN 119	Deductions in respect of Improvements to Land or Buildings not Owned by a Taxpayer (s12N)	Critical for off-site generation. If the plant accedes to land Axion does not own, Axion is not the owner and gets nothing unless s12N deems it so. See Parts 2.6 and 3.1.
IN 47	Wear-and-Tear or Depreciation Allowance (s11(e)) — Issue 5, 9 February 2021	The residual allowance and the Annexure A write-off periods. But note: s11(e) is expressly excluded for any asset on which s12B, s12BA or s12U may be granted — IT39 9.1.
IN 60	Loss on Disposal of Qualifying Depreciable Assets (s11(o))	The scrapping allowance, its election, and the 10-year useful life test. See Part 2.9.
IN 74	Deduction and Recoupment of Expenditure Incurred on Repairs	The repair-versus-improvement line, which decides s11(d) against s12B(1)(i) . See Part 2.2.
IN 33	Assessed Losses: Companies: The “Trade” and “Income from Trade” Requirements	Paragraph 4.1.7 deals with when trade commences — relevant to s12U(3) pre-trade expenditure and to the JHB4 question in Part 9.4.
IN 95	Deduction for Energy-Efficiency Savings (s12L) — Issue 3, 4 July 2024	95c per kWh, SANEDI registration, the M&V professional, the certificate and record-keeping. See Part 5.
IN 107	Deduction in respect of Commercial Buildings (s13quin) — Issue 2, 16 August 2023	New and unused ; “wholly or mainly” means more than 50%. For a substation or plant-room building.

Reference	Publication	What it gives you
		See Part 2.5.
BPR 172 / BCR 85 / BCR 88	Plant Used in the Generation of Renewable Energy; En Commandite Partnerships Investing in Photovoltaic Solar Energy Plants; En Commandite Partners Investing in Solar Assets	The rulings IT39 itself cites on what counts as qualifying plant and on partnership structures. A ruling binds only its applicant , but it shows SARS's approach.
CGT guide	Comprehensive Guide to Capital Gains Tax	The Eighth Schedule mechanics for the disposal analysis in Part 2.9.

Read IT39's own health warning and repeat it if you cite the guide. It states that it is **not an "official publication"** as defined in section 1 of the Tax Administration Act, **does not create a practice generally prevailing** under section 5 of that Act, and **is not a binding general ruling** under section 89. It should not be used as a legal reference.

So cite the section, and use the guide for the detail. "Section 12B(1)(h), as explained in SARS Guide IT39" is right. "SARS says" on its own is not.

The four options, as Document 7 states them

Document 7, page 20, headed "Renewable electricity for future growth — options under consideration". These are the words of the pre-release, not a reorganisation of them.

Option	What Document 7 says	The tax question it raises
Part 1 Additional power purchase agreements	- Purchase renewable electricity from an independent producer. - May require limited upfront capital. - Price, volume and supply terms are agreed contractually. - Flexibility depends on the terms of the agreement.	Axion acquires no asset . Does any capital allowance arise, and if not, what deduction does Axion get instead?
Part 2 Direct investment in generation capacity	- Invest in a renewable energy project, potentially with an experienced technical partner. - Requires upfront capital and an appropriate funding structure. - Axion participates in the risks and returns of the project. - Greater involvement in construction, operations and governance.	Axion acquires an asset. Which allowance, at what rate, in whose hands, and in which year?
Part 3 Off-site generation and wheeling	Land and network constraints may limit generation at a data centre site. - Electricity is generated elsewhere and supplied through the electricity network. - Allocated at an agreed metering point. - Carries network and wheeling charges, transmission losses, curtailment, and electricity generated but not used.	Wheeling is a delivery mechanism, not an ownership structure. The allowance question follows Part 1 or Part 2 depending on who owns the plant; the wheeling costs are a separate deduction question.
Part 4 Long-term offtake agreements	- Greater revenue certainty for the project; the project may depend heavily on one customer. Pricing and escalation terms may apply for many years. - Contracted revenues may support project debt. Purchase commitments may begin before the new facility is fully utilised.	A contracting layer that sits over Part 1, 2 or 3. When is a multi-year commitment "actually incurred", and is electricity paid for but never used still deductible?

- Document 7 joins Parts 1 and 2 with the word **"OR"**. They are presented as alternatives. Parts 3 and 4 are presented separately and can apply **with either** of them.
- Part 5** covers section 12L, which applies to Axion's existing facilities whichever option is chosen. **Part 6** covers the on-site solar Axion already has.

Assumed facts used in the worked examples

Every number below is invented. The pre-release gives no capacity, cost, price, volume or structure for any option. The same facts are used across all four parts so the options can be compared, and so that on the day you substitute the real figures into a computation you have already practised.

- **Electricity requirement.** Axion needs **80 GWh a year** of renewable electricity for the new capacity, currently bought from the grid at **R1.30/kWh** — a grid cost of **R104m a year**.
- **The project.** Solar PV, **30MW**. Plant and machinery **R450m**. Site roads and perimeter fencing **R25m**. Grid connection and transmission line **R60m**. Land **R15m**. Brought into use **1 May 2027**, i.e. in **FY2027** (year ending 30 June 2027).
- **The PPA price.** **R1.10/kWh**, so **R88m a year** for the same 80 GWh.
- **Wheeling costs.** Network and wheeling charges **R12m a year**; transmission losses **5%** of volume.
- **Axion's tax position.** Taxable income before any of this, FY2027: **R350m**. Tax rate **27%**. Tax with no project: **R94.5m**.
- **The existing asset.** On-site rooftop PV at Johannesburg 1, **800kW**, cost **R18m**, brought into use **1 October 2024**.

Part 1 — Additional power purchase agreements

What Document 7 says. “Purchase renewable electricity from an independent producer. May require limited upfront capital. Price, volume and supply terms are agreed contractually. Flexibility depends on the terms of the agreement.”

The tax shape of this option in one line. Axion buys electricity. It acquires **no asset**, so **no capital allowance of any kind arises** — and the only deduction is the cost of the electricity itself under s11(a), as it is incurred, for as long as the contract runs.

1.1 Why no capital allowance arises

Legislation — what the Act says	Application to Axion — tax consequences
• s12B(1)(h) grants the renewable allowance only for plant which is: • — owned by the taxpayer, or acquired as purchaser under an instalment credit agreement; • — brought into use for the first time by that taxpayer; • — for the purposes of that taxpayer's trade; • — used by that taxpayer in the generation of electricity from a specified renewable source. • s12U requires the taxpayer's trade to be the generation of electricity exceeding 5MW. • s12BA (expired) required ownership and first use by the taxpayer. • s11(e) requires the asset to be owned by the taxpayer and used for the purposes of trade. • A purchaser of output owns nothing and brings nothing into use.	• Every capital allowance fails on the same first test: ownership. Under a PPA the independent producer owns the plant, brings it into use and generates the electricity. Axion owns no asset, so s12B, s12BA, s12U and s11(e) are all unavailable. • Axion's trade is also not the generation of electricity — it is data centre and interconnection services. That independently defeats s12U, which requires the taxpayer's own trade to be generation exceeding 5MW. • Write this down in the answer rather than assuming it is obvious. “No allowance arises because Axion does not own the generation plant” is a mark. Silently moving on to s11(a) is not. • The producer gets the allowances, not Axion. That matters commercially: the producer's tax benefit is one of the things that should be reflected in the PPA price Axion is quoted. Ask whether it has been. • [WAITING FOR INPUT]: whether the arrangement is a pure purchase of electricity, or whether Axion takes any ownership interest, prepays capital, or funds the producer. If Axion contributes capital, re-test against Part 2 — the label “PPA” does not decide the tax treatment; the substance of ownership does.

1.2 Section 11(a) — the electricity cost

Legislation — what the Act says	Application to Axion — tax consequences
• s11(a) — the general deduction formula. Deduction for expenditure and losses actually incurred in the Republic in the production of income, provided they are not of a capital nature. • Read with s23(g) — deductible only to the extent laid out for the purposes of trade. • “Actually incurred” means an unconditional legal obligation has arisen. Payment need not have been made. • The deduction arises in the year the obligation arises, not when the electricity is consumed or paid for.	• This is Axion's only deduction on this option, and it is a good one. Electricity is consumed in running the data centres, which produce Axion's income. It is a normal operating cost, not capital, and is fully deductible under s11(a) as incurred. • The deduction is level, not front-loaded. Roughly the same amount every year for the life of the contract, rather than a large deduction in the first three years. Against ownership, that is the single most important structural difference, and it belongs in any comparison. • No timing risk around 30 June. Unlike s12B, nothing turns on the date the plant is commissioned. Monthly electricity charges accrue evenly through the year. • Also deductible on this option: the grid and municipal electricity Axion continues to buy, and any network or wheeling charges it bears — see Part 3.

1.3 Other taxes and the accounting consequence — in brief

The trigger is income tax. These are covered for completeness and to be mentioned in a sentence each, not developed at length.

Tax	The rule	Axion
VAT	Electricity is a standard-rated supply at 15% . Input tax is claimable to the extent acquired for making taxable supplies (s16(3) read with s17).	Producer charges 15%; Axion claims it in full as input tax because it makes taxable supplies. Cash-flow neutral — not a cost. [WAITING FOR INPUT]: is the producer a registered vendor? If not, the PPA is effectively 15% dearer.

Tax	The rule	Axion
Carbon tax	Falls on Scope 1 emissions from fuel combustion above the activity threshold. Not on Scope 2 emissions from purchased electricity. [NOT VERIFIED — threshold and rate.]	No saving. A PPA cuts Scope 2. Axion's exposure is its diesel generators , which Document 7 says are still required. Do not put a carbon tax saving in the NPV.
Dividends tax	20% on dividends paid by a resident company.	Not relevant to this option — no project company, no distribution.
Deferred tax (IAS 12)	A temporary difference arises where the carrying amount of an asset or liability differs from its tax base.	Essentially none — the accounting expense and the s11(a) deduction are the same amount in the same year. Unless IFRS 16 applies , below.
IFRS 16 / IFRS 9	A supply contract contains a lease if it conveys the right to control the use of an identified asset ; a contract for a notional volume may be a derivative unless the own-use exemption applies.	The one accounting point worth real attention on this option. If the PPA identifies a specific plant, IFRS 16 gives a right-of-use asset with no tax base — creating deferred tax and adding to gearing for the covenant discussion. [WAITING FOR INPUT]: does the PPA identify a plant, and who directs its use?

1.4 Worked example — Part 1

Substitute the real volume and price on the day. Nothing else in the computation changes.

Step	Input (assumed)	FY2027 tax effect
Volume of renewable electricity purchased	80 000 000 kWh	
PPA price	R1.10 per kWh	
Cost incurred in FY2027	R88.0m	
Capital allowance — s12B / s12BA / s12U / s11(e)	Nil — Axion owns no asset	Nil
Deduction under s11(a)	R88.0m	R23.76m at 27%
Taxable income: R350m less R88m	R262.0m	Tax R70.74m
Tax if Axion did nothing (R350m × 27%)	R94.50m	
Cash tax saved in FY2027		R23.76m
VAT charged by the producer	R13.2m at 15%	Claimed as input tax — cash-flow neutral
Carbon tax saved	Nil — the saving is Scope 2	Nil

- **The shape of the benefit.** R23.76m of tax saved in FY2027, and **the same again every year** for the life of the contract. Over the first three years that is **R71.28m** — against R128.25m under direct investment (Part 2), but it never stops, and it costs no capital.
- **The sentence for the board:** a PPA converts a capital decision into an operating cost. The tax benefit is smaller in the early years, level rather than front-loaded, and it continues for as long as Axion buys the electricity.

What to ask for on the day — Part 1

- **Volume and price** — kWh a year and rand per kWh, and the escalation basis.
- **Contract term**, and whether there is a minimum take or take-or-pay commitment (then go to Part 4).
- **Whether the producer is a registered VAT vendor.**
- **Whether the PPA identifies a specific plant**, and who controls its use — the IFRS 16 test.
- **Whether Axion contributes any capital, prepayment or funding** to the producer. If it does, Part 2 may apply instead.

Part 2 — Direct investment in generation capacity

What Document 7 says. “Invest in a renewable energy project, potentially with an experienced technical partner. Requires upfront capital and an appropriate funding structure. Axion participates in the risks and returns of the project. Greater involvement in construction, operations and governance.”

The tax shape of this option in one line. Axion acquires an asset, so the capital allowances open up — but **only if Axion itself owns the plant and brings it into use**. The words “potentially with an experienced technical partner” are the whole difficulty: the structure chosen decides who gets the deduction, and the same spend can produce a full allowance, half an allowance, or none at all in Axion's hands.

2.1 Section 12B(1)(h) — the generation plant

Follows SARS Guide IT39, paragraphs 2 to 2.5 and 6.1.

Legislation — what the Act says	Application to Axion — tax consequences
• s12B(1)(h). A deduction on the cost of an asset if all four requirements are met: • — it is machinery, plant, an implement, a utensil or an article; • — it is owned by the taxpayer, or acquired as purchaser under an instalment credit agreement; • — it was or is brought into use for the first time by that taxpayer for the purposes of that taxpayer's trade; and • — it is used by that taxpayer in the generation of electricity from a specified renewable source. • Specified sources: wind; photovoltaic solar; concentrated solar; hydropower not exceeding 30MW; biomass of organic wastes, landfill gas or plant material. • Rate — 50 / 30 / 20 over three years. 100% in year one for photovoltaic solar not exceeding 1MW [s12B(2)(b)]. • No apportionment. Brought into use on the last day of the year still gives the full percentage for that year. • The trade requirement is wide. IT39 2.5: for s12B there is no restriction on the type of trade — the taxpayer need not trade in renewable energy. The guide's example is a glass producer using solar panels to power its manufacturing. • IT39 2.1: the electricity generated may be used by the owner in its own trade, or sold to others. • Mixed sources disqualify the asset. IT39 2.1.4: the sections say “used in the generation of electricity from” the listed sources, and use no words such as “to the extent” or “mainly or wholly”. An asset using both renewable and non-renewable sources does not qualify at all. • “Brought into use for the first time” is a question of fact — the first use consistent with the asset's intended future use. Installation and testing do not count (IT39 2.4). • The asset need not be new and unused — second-hand qualifies (IT39 Example 2). • Prohibitions, s12B(4): no deduction for an asset let otherwise than under an operating lease as defined in s23A(1) unless the lessee derives income from it and the lease runs at least five	• Take the trade point first, because it removes the objection a weak answer would raise. Axion's trade is data centre and interconnection services, not energy. That does not matter for s12B. IT39 2.5 is explicit that no restriction is placed on the type of trade. Axion generating electricity to power its own facilities is on all fours with the glass producer in the guide. • And because Axion recharges metered electricity to customers (Document 5), the second limb helps too — the guide accepts electricity that is used by the owner or sold to others. • [WAITING FOR INPUT]: capacity in MW, technology, plant cost, ownership structure, and the date brought into use. • On the assumed facts. 30MW of PV is above 1MW, so 50/30/20, not 100%. Plant of R450m qualifies. Land never does. The R60m connection is tested separately in 2.5. • FY2027: $R450m \times 50\% = R225.0m$ · tax at 27% = R60.75m • FY2028: $R450m \times 30\% = R135.0m$ · tax R36.45m · FY2029: $R450m \times 20\% = R90.0m$ · tax R24.30m • The mixed-source trap, and it is a live one for a data centre. Axion runs diesel backup generators alongside everything else. If a single generating installation draws on both the renewable source and diesel, IT39 2.1.4 says it does not qualify at all — there is no apportionment to the renewable portion. Keep the renewable generating system separate from the diesel resilience system, and say so. That is a structuring recommendation with a hard number behind it. • The commissioning date, quantified — make this recommendation. No apportionment means 1 May 2027 gives the full R225m in FY2027, while 1 July 2027 moves the whole R225m to FY2028 and defers R60.75m of cash tax by a year. Document 7 says the timing of the grid connection “remains critical”, so the risk is real. • And note what “brought into use” does not include. Commissioning tests and trial runs are not first use. IT39 2.4 lists the evidence SARS expects — an electrical certificate of compliance, written confirmation of the installation and use date, generation and metering reports, contracts and invoices — and the onus is on the taxpayer. Advise that the file be built as the project is commissioned, not afterwards. • Second-hand plant qualifies, which matters if Axion buys an existing project rather than building one. But s12B(4)(c) blocks moving an asset between companies under common control to refresh the allowance, and s12B(4)(d) blocks an asset disposed of in an earlier year.

Legislation — what the Act says	Application to Axion — tax consequences
years or its useful life [s12B(4)(a)]; an asset previously brought into use in the same year by another company under substantially common management, control or ownership that was granted the deduction [s12B(4)(c)]; an asset disposed of in a previous year [s12B(4)(d)]; an asset retained by the taxpayer as seller under an instalment credit agreement [s12B(4)(g)]; or an asset on which s6C or s12BA was allowed [s12B(4)(h)]. • s12B(5) caps the aggregate deductions at the cost of the asset.	

2.2 Section 12B(1)(i), foundations, transformers and batteries

Follows SARS Guide IT39, paragraphs 2.2, 3 and 4. This is where most of the marks on an asset-classification question sit.

Legislation — what the Act says	Application to Axion — tax consequences
• What is “used in the generation of electricity”. IT39 2.2: the word “in” means the deduction is not confined to assets that themselves produce electricity — storage and conversion assets qualify if they form part of a system that produces electricity. • Qualifying examples given by the guide: solar PV panels inclusive of their concrete foundations and supporting steel structures, direct current combiners and feeder lines, and alternating current inverters. • The limit, stated expressly. IT39 2.2: “Assets used for the transmission of electricity, for example transformers and transmission lines, or for storage, for example batteries, do not generate electricity and therefore will generally not qualify” — unless they form an integral part of a system that generates electricity. If the taxpayer is only drawing power from the grid and storing it, the storage assets do not qualify. • Foundations and supporting structures are deemed part of the asset only if all three requirements are met (proviso to s12B(1)): designed for the asset and constructed so as to be integrated with it; useful life limited to the useful life of the asset; and brought into use on or after 1 January 2013 (for s12BA, 31 March 2023 to 28 February 2025). • “Integrated” means it cannot be regarded as a separate component, and on dismantling must have no other use. • s12B(1)(i) — improvements, but not repairs, to a qualifying asset or its deemed foundation, at the same 50/30/20 or 100% rate. The underlying asset must itself have qualified under s12B(1)(h). The improvement cost excludes the cost of the underlying asset. • s12BA made no provision for improvements at all. • Repairs fall to s11(d) — see IN 74 for the distinction.	• This paragraph decides the grid connection, and the answer is less generous than it first looks. IT39 states that transformers and transmission lines generally do not qualify for s12B, because transmission is not generation. So the starting position on the R60m connection is no s12B, and the burden is on Axion to show that a particular transformer is an integral part of the generating system. Lead with the general rule, then argue the exception on the facts — see 2.5. • The battery point, and it is the sharpest thing in this part for Axion, because Document 7 says renewable generation does not replace the UPS and battery infrastructure. Axion will hold batteries for two purposes and they are treated differently: • Batteries integral to the renewable generating system, storing that system’s own output, can qualify under s12B on the facts. • UPS and backup batteries charged from the grid for resilience are squarely within the guide’s exclusion — “if a taxpayer is only drawing power from the grid and storing it, such storage assets will not qualify”. They fall to s11(e). • Worked example. R40m of battery storage. Integral to the solar system: FY2027 deduction $R40m \times 50\% = R20.0m$ · tax R5.40m. Grid-charged resilience UPS on a 5-year s11(e) period, 2 months of use: $R40m \div 5 \times 2/12 = R1.33m$ · tax R0.36m. A 15-fold difference on the same R40m, decided by what charges the battery. • [WAITING FOR INPUT]: the split of storage spend between generation storage and grid-charged resilience UPS, and what each battery is connected to. • The rooftop trap — IT39 Example 3 is almost exactly Axion’s existing installation. In that example a factory roof was strengthened to carry solar panels. The guide holds that neither the roof nor the strengthening cost qualified, because the roof was integrated with the building, not with the solar system, and its useful life exceeded that of the panels. • Axion has rooftop PV at Johannesburg 1. Any roof strengthening for it is therefore not part of the s12B cost, and any work on the new project’s buildings needs the same test. Panel mounting frames and their own concrete foundations do qualify — the guide lists them — but the building they sit on does not. • Then keep s12U separate, because the words collide. A fence foundation is s12U at 100%. A panel foundation is deemed part of the plant and takes 50/30/20. Same word, different section, different rate. • Improvements. Upgrading the existing rooftop array to higher-output panels is an improvement under s12B(1)(i) at the same rate, not a repair. Replacing failed panels with equivalent ones is a repair under s11(d), deductible in full. Note that s12BA never allowed improvements, so nothing can be added to a 12BA asset at 125%.

2.3 Section 12BA — the expired 125% allowance

Legislation — what the Act says	Application to Axion — tax consequences
• 125% of cost, deducted in full in the year the asset is brought into use. • Asset must be new and unused, owned by the taxpayer, brought into use for the first time for the taxpayer's trade, and used to generate electricity from the same sources as s12B. • No capacity threshold — unlike the 30MW hydro limit in s12B. • Not apportioned. Cost base: acquisition, installation and erection, plus any foundation or supporting structure. • Available only for assets brought into use on or after 1 March 2023 and before 1 March 2025. Not renewed. • s12B and s12BA are mutually exclusive for the same asset.	• Not available for this option. The window closed on 28 February 2025. Any project arising from Document 7 will be brought into use in FY2027 at the earliest, so s12BA cannot be claimed. • State the expiry explicitly in the answer. Claiming a lapsed incentive is a technical error that costs more than an omission. Saying "s12BA would have applied but expired on 28 February 2025" earns the mark instead. • Then use it commercially — this is the high-value point. Had the same R450m plant been commissioned before 1 March 2025, s12BA would have given 125% × R450m = R562.5m in FY2027 alone, a first-year tax benefit of R151.9m against R67.5m under s12B and s12U today. • So the expiry of s12BA has materially weakened the case for building rather than buying, by roughly R84m of first-year cash tax on these numbers. That is a genuine, quantified insight drawn from a provision that does not apply — exactly the kind of depth the marking standard rewards. • The existing on-site solar may have been claimed under s12BA — see Part 6.

2.4 Section 12U — roads and fences

Follows SARS Guide IT39, paragraphs 2, 2.5, 3 and 6.3. Read the trade requirement carefully — it is narrower than s12B and it may defeat Axion.

Legislation — what the Act says	Application to Axion — tax consequences
• s12U(1)(a). A deduction of the amount actually incurred during the year of assessment on the construction of any road or the erection of any fence used by that person for the purposes of that person's trade of the generation of electricity which exceeds five megawatts from the specified renewable sources (hydro capped at 30MW). • s12U(2). The foundation or supporting structure designed for such a fence also qualifies, if it is integrated with the fence and its useful life is limited to the fence's. Unlike s12B, it is not deemed part of the fence — it qualifies in its own right. • s12U(1)(b). Improvements to the road, fence or fence foundation are deductible in full in the year incurred. Repairs are excluded. • The trade restriction — this is the difference from s12B. IT39 2.5: for s12U "a restriction applies as the taxpayer has to be conducting a trade of generation of electricity", from the words "for the purpose of trade of that person of generation of electricity". • New construction only. IT39 2.4: the expenditure must be on the construction or erection of new roads, fences and fence foundations, as opposed to existing ones. • Timing is fixed. IT39 6.3.1: the deduction must be taken in the year the expenditure is incurred and cannot be postponed. • s12U(3) — pre-trade expenditure. Expenditure actually incurred before the commencement of, and in preparation for, carrying on the trade is deducted as soon as trade commences, provided it would have qualified under s12U(1) and was not allowed in a previous year.	• Do not claim s12U without testing the trade requirement first — this is the trap in this part. s12B asks only that the asset be used in a trade. s12U asks that the taxpayer's trade be the generation of electricity. Axion's trade is data centre and interconnection services. • So the answer depends on the structure, and it cuts the opposite way from s12B: • Axion generates purely for its own consumption → it is difficult to say Axion carries on a trade of generating electricity. s12U is then probably not available, even though s12B is. Say this rather than assuming the two travel together. • The plant sits in an SPV or a joint operation whose trade is generation → that entity satisfies the s12U trade test comfortably. A structure that loses Axion the s12B allowance may be the only one that secures s12U — a genuine tension to put in front of the board. • Axion sells or wheels electricity to third parties → there is a much stronger argument that a generation trade is carried on. Document 5 records that Axion separately meters and recharges electricity to customers, which supports the argument without settling it. • [WAITING FOR INPUT]: project capacity in MW, and whether the generating entity sells electricity or only self-supplies. Below 5MW, s12U is unavailable in any event. • If the trade test is met, on the assumed facts: 30MW exceeds 5MW, so R25m of new site roads and perimeter fencing is deductible in full: $R25m \times 100\%$ in FY2027 = R25.0m · tax R6.75m. • s12U(3) is worth real money on a construction project and is easy to miss. Roads and fencing are built early, often well before the plant generates anything. The expenditure is not lost: it is deducted in the year the generation trade commences. If the R25m is incurred in FY2026 but generation starts in FY2027, the R25m is claimed in FY2027. Raise it — most candidates will assume the deduction was lost with the earlier year. • But note the hard edge on timing. IT39 6.3.1 says the s12U deduction cannot be postponed to a later year. Unlike s12B it is all-or-nothing in one year, so if Axion has no taxable income that year the

Legislation — what the Act says	Application to Axion — tax consequences
• s12U assets are excluded from s11(o) (IT39 9.2).	benefit is trapped in an assessed loss — see 2.8. • Two limits to state: the roads and fences must be new (resurfacing an existing access road does not qualify), and s12U does not cover the transmission line — see 2.5.

2.5 The grid connection — s13quin and s11(e)

Follows SARS Guide IT39, paragraphs 2.2 and 9.1, read with IN 107 and IN 47.

Legislation — the options, tested in order	Application to Axion — tax consequences
• First — s12B. IT39 2.2 states that transformers and transmission lines generally do not qualify, because transmission is not generation. They qualify only if they form an integral part of a system that generates electricity, judged on the facts of each case. • Second — s12U. Roads, fences and fence foundations only. A transmission line is none of these. • Third — s13quin. 5% a year of the cost of a new and unused building or improvement, owned by the taxpayer and used wholly or mainly for producing income in the course of trade. IN 107: “mainly” means more than 50%, and “unused” means not previously used by any person for any purpose. Land is excluded. • Fourth — s11(e). Wear and tear, apportioned for part of a year, over the IN 47 Annexure A write-off periods. • The s11(e) exclusion — IT39 9.1. No s11(e) allowance is available on any asset for which a deduction may be granted under s12B, s12BA or s12U, because s11(e) expressly excludes assets contemplated in those sections. The exclusion applies even if s11(e) would have given a larger deduction. • If none apply: capital, no allowance, and the cost goes to base cost for CGT.	• [WAITING FOR INPUT] — your first information request on this option: the cost split between plant, roads and fences, transmission and connection infrastructure, buildings and land. • Start from the guide’s general rule, not from the exception. The R60m connection is presumptively outside s12B. Only if a transformer or switchgear is shown to be integral to the generating system does it come back in — and Document 7 describes electricity being “transmitted and wheeled” across the network, which points away from integration. • Then work the alternatives and show the spread: • Integral transformers and switchgear → s12B at 50% → FY2027 deduction R30.0m · tax R8.10m • A substation or plant-room building → s13quin at 5% → FY2027 deduction R3.0m · tax R0.81m • A transmission line with no specific allowance → s11(e), apportioned. On a 20-year period and 2 months of use: $R60m \div 20 \times 2/12 = R0.5m$ · tax R0.135m • R8.10m against R0.135m of first-year tax on the same R60m. That is why the split matters, and why a range with reasons is the right answer until you have it. • Note the one-way door in IT39 9.1, because it is counter-intuitive. You cannot elect s11(e) because it suits you. If an asset may be granted a deduction under s12B, s11(e) is excluded even where s11(e) would give more — which it can, on a short-life asset. The sections are not alternatives to choose between; s12B displaces s11(e) automatically. • For s13quin, check both limbs. The building must be new and unused, and used wholly or mainly — more than 50% — in producing income in Axion’s trade. A substation housing equipment that serves the facility satisfies the second; the first fails if Axion converts an existing structure. • Land of R15m attracts no allowance under any section — base cost only. Say so explicitly.

2.6 Who claims — ownership, accession, partnership or SPV

Follows SARS Guide IT39, paragraph 2.3. The highest-value point on this option, and the guide adds a risk most candidates will not see: Axion can pay for the plant and still not own it.

Legislation — what the Act says	Application to Axion — tax consequences
• Four elements in the same taxpayer: owns the asset, brings it into use for the first time, for that taxpayer’s own trade, and uses it in generating electricity from a specified source. • Ownership is a common-law question, and accession can defeat it. IT39 2.3: under superficies solo cedit, anything artificially attached to land becomes part of the land and the property of the landowner. “If the asset accedes to the land, the person who purchased the asset may not be the owner and, if so, will not be entitled to a deduction.”	• Start with accession, because it is the risk that destroys the allowance silently. Axion can pay the full R450m, sign every contract, and still fail the ownership test if the plant is permanently affixed to land it does not own. IT39 works three scenarios, and the middle one is the warning: • Axion owns the land → asset permanently affixed → Axion is the owner → allowance available. • Axion leases the land and affixes the plant permanently, with no agreement to remove it → the landowner becomes the owner. Axion gets nothing because it does not own the asset, and the landowner gets nothing because it did not incur the cost. The R450m allowance simply disappears.

Legislation — what the Act says	Application to Axion — tax consequences
- The tests (MacDonald Ltd v Radin NO; Olivier v Haarhof) are the nature of the article, the degree and manner of annexation, and the intention of the person annexing it. Each case turns on its own facts. - The taxpayer need not own the land or building to which the asset is affixed — but must still own the asset. s12N deems a taxpayer that holds a right of use or occupation of land to be the owner of improvements it makes to land it does not own. If s12N's requirements are not met, the ownership requirement fails and no deduction is available (see IN 119). Leasing out, s12B. IT39 2.3: generally no allowance where the taxpayer lets the asset, because it is then the lessee who uses it to generate. If an allowance is available, s12B(4)(a) and s12B(6) apply. Leasing out, s12BA. By contrast s12BA expressly permitted the lessee to be the user, and imposed no trade requirement on the lessee. Partnerships. Each partner holds an undivided proportionate share of each asset and claims that share. But s24H(3) may limit a partner's deduction in the year, with the excess carried forward under s24H(4). A company owning the plant claims in its own right; shareholders claim nothing.	Axion leases the land and mounts the plant so it can be detached without damage, with a written agreement that it will be removed at the end of the lease → Axion retains ownership and the allowance — though not of the concrete foundation, which stays with the land. So this is a drafting point with a R121.5m consequence. [WAITING FOR INPUT]: does Axion own the project land; if not, what does the lease say about removal at expiry, and how is the plant attached? Advise that the lease record the intention that the plant remains Axion's movable property, and that s12N be tested if it does not. Then the structures, on the assumed FY2027 deductions of R250m: Structure A — Axion owns 100%. Deduction R250.0m. Taxable income $R350m - R250m = R100m$ · tax R27.00m against R94.50m. Cash tax saved R67.50m. Structure B — 50/50 joint operation. Axion claims its 50% share = R125.0m · tax R60.75m. Cash tax saved R33.75m. But check s24H(3): a partner's deduction can be limited in the year and carried forward under s24H(4), so the R125m may not all land in FY2027. Raise it as a question — the limitation turns on the partnership agreement. Structure C — an SPV owns the plant. The SPV claims R250m against nil income → an assessed loss constrained by s20 (2.8). Axion claims no allowance, only s11(a) on the electricity it buys. The headline finding, and the sentence to lead with: the same R250m of qualifying spend produces R67.50m, R33.75m or no allowance in Axion's hands, purely on structure — before a single commercial term changes. Do not plan to lease the plant out. Under s12B, letting the asset generally forfeits the allowance because the lessee becomes the user. The lessee-friendly rule sat in s12BA, which has expired — so the flexibility that once existed is gone. The tension to flag, not resolve silently. The transparent structure is best for tax and worst for gearing, because the project debt comes onto Axion's balance sheet. And the IFRS 11 test (rights to assets, obligations for liabilities) is a different test from the tax test and can point the other way.

2.7 Funding the project — sections 24J and 23M

Legislation — what the Act says	Application to Axion — tax consequences
s24J. Interest is incurred and accrued on a yield-to-maturity basis over the term of the instrument, regardless of when it is paid. The tax treatment is independent of the accounting treatment — interest capitalised into the cost of an asset for accounting is still deducted for tax as incurred, unless another provision prevents it. s23M. Limits the deduction of interest on debt owed to a creditor in a controlling relationship with the debtor where that creditor is not subject to South African tax on the interest. The excess is carried forward. [NOT VERIFIED — read s23M and confirm the current percentage and the definition of a controlling relationship.]	Document 7 says this option “requires upfront capital and an appropriate funding structure”, and Document 3 lists three funding routes: additional debt, investment from existing shareholders, or a new strategic investor. Each has a different tax outcome. Debt. Assume R300m of the R450m plant is debt-funded at 11%, drawn for 8 months of FY2027: $R300m \times 11\% \times 8/12 = R22.0m$ of interest, deductible under s24J · tax R5.94m. Equity. No deduction at all. The trade-off against debt is worth a sentence in the funding recommendation: debt brings a 27% shield on the interest, equity brings none but no covenant exposure. s23M is live if shareholders lend. Ubuntu holds 35% and Horizon 30% (Document 4). If either lends to Axion or to a project company and is not subject to SA tax on the interest, the deduction can be restricted. [WAITING FOR INPUT]: the identity, tax residence and shareholding of any project lender. The double-count trap — raise it as a question. If the R22m of interest is capitalised into the asset for accounting, it is not in accounting profit but is deducted under s24J. If it is also included in the s12B cost base, the same rand is relieved twice. [WAITING FOR INPUT]: confirm whether capitalised interest is in the s12B cost base.

2.8 Section 20 — assessed losses

Legislation — what the Act says	Application to Axion — tax consequences
• s20(1)(a). A company may set off the balance of assessed loss brought forward only against the higher of R1 million or 80% of taxable income for the year. • Applies to years of assessment ending on or after 31 March 2023. • Effect: a company with taxable income above R1m pays tax on at least 20% of that income, however large its brought-forward loss. • The unused balance is carried forward, not lost. • The current-year loss is not restricted — the limitation applies to the balance brought forward from an earlier year.	• In Structure A, Axion is comfortable. FY2026 profit before tax was R325m, and the R250m deduction leaves R100m of taxable income in FY2027. No assessed loss arises and the benefit is realised in cash, immediately. • But test the downside rather than assuming headroom. If the project were larger, or if s13quin on JHB4 and s12L savings landed in the same year, total deductions could exceed taxable income. Do the arithmetic on the day. • Where s20 bites hard is Structure C. The SPV has an assessed loss of R250m carried into FY2028. Assume it earns taxable income of R60m in FY2028: • Set-off limited to the higher of R1m and $80\% \times R60m = \mathbf{R48.0m}$ • Taxable income after set-off $R12.0m \cdot \text{tax at } 27\% = \mathbf{R3.24m}$ — the SPV pays tax despite a R250m loss • Assessed loss carried forward = $R250m - R48m = \mathbf{R202.0m}$ • So the R250m takes many years to absorb, and its present value in Structure C is far below its nominal value. This is the quantified answer to “why does the structure matter?” — and it is a stronger answer than simply saying the loss is trapped.

2.9 Disposal — recoupment and capital gains

Follows SARS Guide IT39, paragraphs 9.2 and 9.3.

Legislation — what the Act says	Application to Axion — tax consequences
• s8(4)(a) — recoupment. Amounts previously allowed as a deduction are included in income when recovered or recouped. IT39 9.3: the recoupment equals the amount for which the asset is disposed of, limited to its cost, less its tax value. It is taxed as ordinary income at 27%, not as a capital gain. • s8(4)(nA) — the s12BA add-on. If an asset on which s12BA was claimed is disposed of before 1 March 2026, 25% of the cost that has been recouped is included in income in addition to the s8(4)(a) amount. The two inclusions together are capped at the total deducted under s12BA — a maximum of 125% of cost. If the asset is disposed of on or after 1 March 2026, s8(4)(nA) does not apply at all. • s11(o) — alienation, loss or destruction. A deduction for the shortfall where proceeds are less than tax value, subject to: the taxpayer elects it; the asset qualified under a specified section (s12B and s12BA included, s12U excluded); the expected useful life, determined at original acquisition, does not exceed 10 years; and cost exceeds proceeds plus allowances. No election is available where the disposal is to a connected person. See IN 60. • Eighth Schedule — CGT. Proceeds less base cost, with base cost reduced by the allowances claimed, and amounts recouped under s8(4)(a) excluded from proceeds to avoid double taxation. Company inclusion rate 80%, at 27% → effective 21.6%.	• Example 1 — plant sold below cost. The R450m plant is sold in FY2032 for R200m. Allowances are fully claimed by FY2029, so the tax value is nil. • Recoupment = proceeds R200m (below cost, so not capped) less tax value nil = R200.0m into income · tax R54.0m. Proceeds are below original cost, so no capital gain arises. • Example 2 — sold above cost, for R500m. • Recoupment = proceeds limited to cost R450m, less nil tax value = R450.0m · tax R121.5m • Capital gain = $R500m - \text{base cost (R450m less R450m of allowances = nil, but proceeds are reduced by the R450m recouped)} \rightarrow \text{gain } R50.0m \cdot 80\% = R40m \cdot \text{at } 27\% = \mathbf{R10.8m}$ • Total tax on disposal R132.3m. • The sentence the board most often needs. The accelerated allowances are a deferral, not a permanent saving — the full R450m comes back as ordinary income. What they deliver is the present value of the deferral, and that, not the nominal R128.25m, belongs in the post-tax NPV. • s11(o) will not help on this project, and you should say why rather than ignoring it. Three reasons: generation plant written off over three years under s12B has no remaining tax value to create a shortfall; the useful life of the plant exceeds 10 years measured at acquisition, which is fatal in itself; and s12U assets are excluded from s11(o) altogether. Also note it is unavailable on a disposal to a connected person — which is exactly what a transfer to an SPV or to the technical partner would be. • [WAITING FOR INPUT]: proceeds, date of disposal, tax value, whether the buyer is a connected person, and which section the original allowance was claimed under — a s12BA asset follows s8(4)(nA) as well.

2.10 Other taxes and the accounting consequence — in brief

The trigger is income tax. These are covered so they can be mentioned in a sentence each, not developed at length.

Tax	The rule	Axion
VAT	Input tax on construction, plant and imported equipment is claimable to the extent acquired for making taxable supplies (s16(3) with s17). Import VAT is recoverable; customs duty is not .	R67.5m of input tax on R450m of plant, recoverable in the VAT period of acquisition — a timing benefit in the cash flow, not a cost . Customs duty on imported plant is a cost and goes into the s12B cost base. [WAITING FOR INPUT]: is the plant imported, at what duty rate?
Dividends tax	20%, but s64F(1)(a) exempts the dividend where the beneficial owner is a resident company , subject to the declaration and undertaking.	Only relevant in Structure C . SPV distributes R50m to Axion: with the declaration nil ; without it R10m . The exemption is procedural, not automatic .
Carbon tax	Falls on Scope 1 only. [NOT VERIFIED — threshold and rate.]	No saving here either . Owning the plant still cuts only Scope 2. The diesel generators, and the exposure, remain.
Deferred tax (IAS 12)	A taxable temporary difference arises where carrying amount exceeds tax base, measured at 27% .	At 30 June 2027: carrying amount R447m (R450m less 2 months' depreciation over 25 years) against a tax base of R225m → temporary difference R222m → DTL R59.94m . The tax base falls to nil in three years while the asset depreciates over 25, so the liability builds fast and unwinds over two decades — material against R6 850m of existing liabilities.
IFRS 11	A joint arrangement is a joint operation or a joint venture depending on rights to assets and obligations for liabilities.	Different test from the tax test in 2.6 and it can point the other way. Flag the tension; do not resolve it silently.

2.11 Worked example — Part 2

Substitute the real cost split, capacity and commissioning date on the day. The structure of the computation does not change.

Step 1 — Allocate each cost to its own section

Cost element	Amount	Section	FY2027 deduction
Plant and machinery	R450m	s12B at 50%	R225.0m
Roads and perimeter fencing	R25m	s12U at 100%	R25.0m
Grid connection / transmission	R60m	s12B, s13quin or s11(e)	R30.0m / R3.0m / R0.5m
Land	R15m	No allowance — base cost only	Nil
Total, excluding the grid connection	R550m		R250.0m

Step 2 — Apply the structure

	A — Axion owns 100%	B — 50/50 joint operation	C — SPV owns
Who claims	Axion	Axion 50%; partner 50%	The SPV
Axion's FY2027 deduction	R250.0m	R125.0m	Nil
Taxable income before	R350.0m	R350.0m	R350.0m
Less: deduction	(R250.0m)	(R125.0m)	(R88.0m) s11(a) on electricity
Taxable income after	R100.0m	R225.0m	R262.0m
Tax at 27%	R27.00m	R60.75m	R70.74m
Tax with no project	R94.50m	R94.50m	R94.50m
Cash tax saved, FY2027	R67.50m	R33.75m	R23.76m

Step 3 — The three-year picture for Structure A

	FY2027	FY2028	FY2029	Total
s12B at 50 / 30 / 20	R225.0m	R135.0m	R90.0m	R450.0m
s12U at 100%	R25.0m	—	—	R25.0m
Total deduction	R250.0m	R135.0m	R90.0m	R475.0m
Tax benefit at 27%	R67.50m	R36.45m	R24.30m	R128.25m

- **The shape of the benefit.** Heavily front-loaded and **exhausted after FY2029**. Against Part 1, which delivers R23.76m every year indefinitely. Over the first three years: **R128.25m against R71.28m** — but the PPA keeps paying after that.
- And remember 2.8: the R128.25m is a **deferral**. On disposal s8(4)(a) brings it back as ordinary income.

What to ask for on the day — Part 2

- **Capacity in MW and the technology** — decides 100% against 50/30/20, and whether s12U is available at all.
- **The cost split** between plant, roads and fences, grid connection, buildings and land.
- **The ownership structure** with the technical partner, and the participation percentages — the single biggest swing factor.
- **The date the asset will be brought into use**, against 30 June.
- **The funding mix**, and the identity and tax residence of any lender, for s24J and s23M.
- **Whether capitalised interest is included in the s12B cost base.**

Part 3 — Off-site generation and wheeling

What Document 7 says. “Land and network constraints may limit renewable generation at a data centre site. Electricity may instead be generated elsewhere and supplied through the electricity network under a wheeling arrangement.” The diagram runs: renewable-energy project → electricity network → Axion data centre, “allocated at an agreed metering point”, and lists **network and wheeling charges, transmission losses, curtailment, and electricity generated but not used**.

The tax shape of this option in one line. **Wheeling is a delivery mechanism, not an ownership structure. It does not create or destroy a capital allowance. The allowance question follows Part 1 or Part 2 depending on who owns the off-site plant — and wheeling then adds its own layer of deductible operating costs.**

3.1 The fork — does Axion own the off-site plant?

Follows SARS Guide IT39, paragraphs 2.2 and 2.3. Off-site generation is where the ownership and accession rules bite hardest.

Legislation — what the Act says	Application to Axion — tax consequences
• s12B requires the plant to be owned by the taxpayer, brought into use by that taxpayer, for that taxpayer's trade, in generating electricity from a specified source. Nothing in the section requires the plant to be at the taxpayer's premises. • But ownership is tested at common law. IT39 2.3: under superficies solo cedit, an asset permanently affixed to land becomes the property of the landowner. The purchaser of the asset may therefore not be its owner, and then gets no deduction — while the landowner gets none either, having incurred no cost. • The tests are the nature of the article, the degree and manner of annexation, and the intention of the annexor. A written agreement that the asset will be removed at the end of the lease, and an attachment that permits removal without damage, point to the purchaser retaining ownership. • s12N deems a taxpayer holding a right of use or occupation of land to be the owner of improvements it effects on that land, for s12B and s12BA purposes. If its requirements are not met, the ownership requirement fails outright (IN 119). • s12U additionally requires the taxpayer's trade to be the generation of electricity exceeding 5MW. • Transmission assets do not qualify. IT39 2.2: transformers and transmission lines are used to transmit, not generate, and generally fall outside s12B. • s11(a) allows the cost of electricity and services purchased, where incurred in the production of income and not of a capital nature.	• Location is not the problem — ownership is. An off-site plant that Axion owns attracts s12B on exactly the same terms as an on-site one. Do not let the word “off-site” lead you to deny the allowance. • The real risk is that Axion pays for the plant and does not own it. Document 7 says off-site generation is driven by land and network constraints, which means the plant will very likely stand on land Axion does not own. If the panels and their foundations are permanently affixed to that land, the landowner becomes the owner and Axion's entire capital allowance is lost — R121.5m on the assumed facts. • So ask the ownership question before the tax question, and follow the branch: • Axion owns the off-site plant and the land, or holds it so that ownership is retained → the whole of Part 2 applies unchanged. Then add 3.2 for the wheeling costs. • Axion owns the plant but it accedes to a third party's land → no s12B at all, unless s12N deems Axion the owner of the improvement. Test s12N against IN 119 and say whether it is met. • An independent producer owns it → the whole of Part 1 applies: no capital allowance, only s11(a). Then add 3.2. • The practical advice, which is what a CA(SA) is being paid for here. If Axion is to own off-site plant on leased land, the lease and the mounting method must be built for it: a removal agreement at expiry, and an attachment that allows removal without damage. IT39's third scenario shows that this works — and that the concrete foundation still stays with the land, so its cost is lost even when the panels are saved. • Two further points specific to off-site. The transmission line to the metering point is not a s12B asset (IT39 2.2) and not a s12U asset either — it goes to 2.5. And s12U needs Axion's own trade to be generation, which off-site supply to its own data centres does not obviously establish — see 2.4. • [WAITING FOR INPUT]: who owns the off-site plant and the land it stands on; the lease terms on removal; the method of attachment; and where the metering point sits.

3.2 Wheeling charges, transmission losses and curtailment

Legislation — what the Act says	Application to Axion — tax consequences
• s11(a) read with s23(g). Expenditure actually incurred in the production of income, not of a capital nature, and laid out for the purposes of trade. • “Actually incurred” means an unconditional legal obligation has arisen — not that the benefit was received or the payment made.	• Network and wheeling charges paid to the network operator are a normal operating cost of getting the electricity to the data centre. Deductible in full under s11(a) as incurred. On the assumed facts, R12.0m a year · tax at 27% = R3.24m. • Transmission losses are the sharper point. Axion pays for electricity at the generation point but receives less at the metering point. The cost of the lost units is still expenditure actually incurred in the production of income, so it remains deductible — the loss does not

Legislation — what the Act says	Application to Axion — tax consequences
- A loss actually incurred in the production of income is deductible on the same terms as expenditure. - There is no requirement that the expenditure produce income successfully. Expenditure on a failed or wasted input remains deductible if it was incurred in the production of income.	disallow it. On 5% of 80 GWh at R1.10, that is R4.4m a year · tax R1.19m. Curtailment — where the network cannot take the output — and “electricity generated but not used” are the same analysis. If Axion has an unconditional obligation to pay, the cost is incurred and therefore deductible, even though Axion received no usable electricity. See Part 4, where this becomes the main question. Say this plainly, because it is counter-intuitive and it is a mark: electricity Axion pays for and never uses is still deductible. The tax system does not penalise a wasted input. But it is a real cash cost with no offsetting benefit, so it must be priced into the commercial comparison even though it is fully relieved at 27%. [WAITING FOR INPUT]: the wheeling tariff, the loss factor applied at the metering point, and who bears curtailment risk under the contract.

3.3 Other taxes — in brief

The trigger is income tax. One sentence each is enough on the day.

Tax	The rule	Axion
VAT	Electricity and network services are standard-rated at 15% . Input tax claimable to the extent acquired for making taxable supplies (s16(3) with s17).	Two supplies, both carrying VAT: the electricity from the producer and the wheeling and network service from the operator. Axion claims input tax on both — cash-flow neutral. The metering point fixes the volume on which output VAT is charged. [WAITING FOR INPUT]: are both parties registered vendors, and at which point is volume measured for invoicing?
Carbon tax	Falls on Scope 1 only. [NOT VERIFIED — threshold and rate.]	No saving — wheeled renewable electricity cuts Scope 2. The diesel generators remain.
Deferred tax	Follows the allowance position.	As Part 1 if a producer owns the plant, as Part 2 if Axion owns it.

3.4 Worked example — Part 3

This example assumes an independent producer owns the plant, so Part 1 applies to the electricity and the wheeling costs are added. If Axion owns the plant instead, take the Part 2 example and add only the wheeling block below.

Step	Input (assumed)	FY2027 tax effect
Volume contracted at the generation point	80 000 000 kWh	
Transmission losses at 5%	(4 000 000 kWh)	
Volume received at the metering point	76 000 000 kWh	
Electricity cost — 80 GWh at R1.10	R88.0m	s11(a) · R23.76m
Network and wheeling charges	R12.0m	s11(a) · R3.24m
Total deduction	R100.0m	R27.00m
Capital allowance (producer owns the plant)	Nil	Nil
Taxable income: R350m less R100m	R250.0m	Tax R67.50m
Cash tax saved against R94.50m		R27.00m
Effective cost per usable kWh	R100.0m ÷ 76 GWh = R1.32/kWh	R0.96/kWh after tax relief

- The point the effective-cost line makes.** A headline PPA price of R1.10/kWh becomes **R1.32/kWh delivered** once wheeling charges and transmission losses are included — above the R1.30/kWh grid cost it was meant to beat. **Wheeling is where a renewable saving can quietly disappear**, and the tax relief at 27% does not rescue it, because the grid alternative is equally deductible.
- That is the commercial insight to draw from this option**, and it comes straight from the four cost items Document 7 lists under the wheeling diagram.

What to ask for on the day — Part 3

- **Who owns the off-site plant** — the one fact that decides whether Part 1 or Part 2 applies.
- **The wheeling tariff and the loss factor** at the agreed metering point.
- **Who bears curtailment risk**, and whether Axion pays for electricity generated but not delivered.
- **Where the metering point is**, and the volume basis on which Axion is invoiced.
- **The site of the off-site plant**, and whether Axion owns, leases or holds a right of use over the land — for s12U and s12N.

Part 4 — Long-term offtake agreements

What Document 7 says. Benefits: greater revenue certainty for the project; improved visibility over future electricity costs; contracted revenues may support project debt; electricity can be secured for future capacity. Related considerations: the project may depend heavily on one customer; **pricing and escalation terms may apply for many years**; funders will consider the customer's ability to pay; and **purchase commitments may begin before the new facility is fully utilised**.

The tax shape of this option in one line. An offtake agreement is a **contracting layer over Part 1, 2 or 3**, not a fourth way of getting electricity. Its tax question is one of **timing and of wasted cost**: when is a multi-year commitment "actually incurred", and is electricity paid for but never used still deductible?

4.1 When the commitment is "actually incurred"

Legislation — what the Act says	Application to Axion — tax consequences
• s11(a). Deduction for expenditure actually incurred in the production of income, not of a capital nature, read with s23(g). • "Actually incurred" means an unconditional legal obligation has arisen in that year of assessment. Payment is not required, and the benefit need not yet have been received. • An obligation that is contingent on a future event is not yet incurred, and no deduction arises until the contingency falls away. • Signing a contract does not of itself incur the expenditure of every future year. Each year's obligation is tested in that year. • s23(e) denies a deduction for income carried to a reserve or capitalised. • There is no general provision allowing a deduction for future expenditure under a purchase contract. s24C works the other way — it relieves a taxpayer who has received income in advance.	• The trap on this option, and it is a real one. A 15-year offtake with escalation looks like a large committed liability the moment it is signed. For tax, it is not. Axion deducts only the year's electricity, as each year's unconditional obligation arises. There is no deduction on signature for the remaining years of the contract. • So a candidate who writes "Axion should recognise a deduction for the full committed purchase price" is wrong, and visibly so. Deduct year by year. • Then draw the accounting contrast, because it is the interesting half. For accounting, a contract that has become onerous may require a provision under IAS 37 for the unavoidable net cost. That provision is an expense now, but it is not deductible now — the tax deduction waits until each year's obligation is actually incurred. • That mismatch is a deductible temporary difference and a deferred tax asset, recognised only to the extent future taxable profits are probable (IAS 12). On Axion's FY2026 profit before tax of R325m that test is currently met — but say so, do not assume it. • s24C cuts the other way and should be mentioned and dismissed. It gives an allowance where income has been received in advance and expenditure must still be incurred under that contract. As the buyer of electricity, Axion receives no income under the PPA, so s24C gives Axion nothing here. It is relevant to Axion as a seller, on contracted-but-unutilised data centre capacity — see Part 9.3. • [WAITING FOR INPUT]: the contract term, the take-or-pay percentage, the escalation formula, and whether any payment is unconditional on signature.

4.2 Electricity paid for but not used

Legislation — what the Act says	Application to Axion — tax consequences
• s11(a). Expenditure actually incurred in the production of income, not of a capital nature. • The test is the purpose for which the expenditure was incurred, not whether it in fact produced income. • A loss actually incurred in the production of income is deductible on the same terms as expenditure. • s23(g) denies a deduction only to the extent expenditure is not laid out for the purposes of trade. • Expenditure on an input that is wasted, spoiled or unused remains deductible where it was incurred for trade purposes.	• Document 7 raises this directly: "purchase commitments may begin before the new facility is fully utilised". So Axion may contract for 80 GWh while the new capacity only consumes 55 GWh. • The answer is that the unused electricity remains deductible. The commitment was entered into for the purposes of Axion's trade, to secure power for data centre capacity. s11(a) asks about purpose, not outcome, and s23(g) is not offended. The take-or-pay payment on unused volume is deductible in full at 27%. • But do not stop at the technical answer — that is what separates a competent response from a borderline one. Deductibility does not make it cheap. Axion still bears 73 cents in every rand of a cost that delivers nothing. • On the assumed facts, a 25 GWh shortfall at R1.10 is R27.5m of wasted purchase: tax relief R7.43m, net cash cost R20.07m — with no electricity consumed and no revenue earned against it. • The recommendation that follows. Match the ramp of the offtake commitment to the contracted capacity curve rather than to installed capacity. Axion already measures contracted, installed and utilised

Legislation — what the Act says	Application to Axion — tax consequences
	capacity separately (Document 5), so the data to do this exists. That is a tax-informed operational recommendation, which is what the task is likely to reward. • Also flag the counterparty point from Document 7: “the project may depend heavily on one customer”, and “funders will consider the customer’s ability to pay”. A long offtake from Axion is effectively credit support for the project’s debt, which belongs in the gearing and covenant discussion even though it creates no tax consequence of its own.

4.3 Other taxes and the accounting consequence — in brief

The trigger is income tax. One sentence each is enough on the day.

Tax	The rule	Axion
VAT	Output and input tax follow the time of supply rules, not the contract term.	Input tax is claimed as each invoice arises , including on take-or-pay volumes never consumed — Axion has still been supplied for VAT purposes. Neutral overall.
Carbon tax	Falls on Scope 1 only. [NOT VERIFIED.]	No saving. A long offtake secures renewable supply, which is Scope 2.
Deferred tax (IAS 12)	A deductible temporary difference gives a deferred tax asset , recognised only to the extent future taxable profits are probable.	The one to watch on this option. An IAS 37 onerous contract provision is an accounting expense now but is not deductible until each year’s obligation is incurred → a DTA at 27% . On FY2026 profit before tax of R325m the recognition test is met — but state it, do not assume it.

4.4 Worked example — Part 4

The commitment ramps ahead of utilisation. Substitute the real take-or-pay percentage and utilisation curve on the day.

	FY2028	FY2029	FY2030
Contracted volume (take-or-pay)	80 GWh	80 GWh	80 GWh
Volume actually consumed	55 GWh	70 GWh	80 GWh
Volume paid for but not used	25 GWh	10 GWh	Nil
Total cost at R1.10/kWh	R88.0m	R88.0m	R88.0m
Deduction under s11(a)	R88.0m	R88.0m	R88.0m
Tax relief at 27%	R23.76m	R23.76m	R23.76m
Of which relates to wasted volume	R7.43m	R2.97m	Nil
Net cash cost of the wasted volume	R20.07m	R8.03m	Nil

- **R28.1m of net cash burned over two years** on electricity never consumed — fully deductible, and still R28.1m gone. Deductibility is the technical answer; the ramp mismatch is the commercial one. **Give both.**
- **No deduction arises in FY2027 on signature**, even if the contract is signed then and runs to FY2042. The obligation for FY2028 is incurred in FY2028.

What to ask for on the day — Part 4

- **The contract term and the take-or-pay percentage.**
- **The escalation formula**, and whether it is CPI-linked or fixed.
- **The commissioning and utilisation ramp** of the new facility, against the date the purchase commitment starts.
- **Whether any amount is payable unconditionally on signature** — that, and only that, would be incurred up front.
- **Whether the contract has become onerous** for IAS 37, and whether future taxable profits support a deferred tax asset.

Part 5 — Section 12L: applies to every option

Why this has its own part. s12L is not one of the four options. It rewards **using less** electricity rather than securing more, so it is available **alongside whichever option the board chooses** — and it applies to the five facilities Axion already operates, not only to new capacity.

Legislation — what the Act says	Application to Axion — tax consequences
- Deduction for verified energy efficiency savings achieved by the taxpayer in the year of assessment. - Computed at 95 cents per kilowatt-hour (or kWh equivalent) of energy saved. - Requires measurement and verification by a SANAS-accredited M&V body, and a certificate issued by SANEDI. No certificate, no deduction. - Savings are measured against a baseline, which must be established and measured before the efficiency intervention. Sunset extended from 31 December 2025 to 31 December 2030 — the incentive is available. It can be claimed alongside s12B. s23B prohibits double deductions, but IT39 9.4 confirms that s12B and s12L may both be claimed because they relate to different amounts — s12B to the cost of the asset, s12L to the energy saved. See also IN 95.	Confirm the extension before dismissing this. s12L was due to lapse on 31 December 2025 and was extended to 31 December 2030. Axion's FY2027 and later years are within the window. And say that it stacks. A weak answer assumes s23B blocks a second incentive on the same project. IT39 9.4 settles it: Axion can claim s12B on the plant and s12L on the savings in the same year, because the two deductions attach to different amounts. That is a point worth a mark on its own. Why it fits Axion unusually well. Electricity is one of its most significant operating costs (Document 7); data centres measure consumption continuously, so a defensible baseline is achievable; and Document 7 describes an AI-enabled tool piloted at Johannesburg 1 that identifies and prioritises equipment maintenance — precisely the kind of intervention that produces measurable efficiency savings. Worked example. A cooling optimisation saves 3 000 000 kWh in FY2027: 3 000 000 kWh × 95c = R2.85m deduction · tax at 27% = R769 500 - Modest beside the s12B numbers, but it recurs annually while the savings persist, it requires no capital, and it is available whichever of the four options is chosen. The practical caution to give, because it is advice the client can act on. There is no retrospective claim. Without a measured baseline and SANEDI certification there is no deduction, however real the saving. If the board is contemplating efficiency work, the baseline must be established first. [WAITING FOR INPUT]: whether Axion has claimed s12L before, whether a measured baseline exists, and what efficiency projects are planned.

Part 6 — The existing on-site solar generation

Why this has its own part. Document 7 lists **on-site solar generation** among Axion's current electricity sources. It is not one of the options under consideration, but it is an existing asset with its own tax history — and a task could ask about it, or about disposing of it, rather than about the new investment.

Legislation — what the Act says	Application to Axion — tax consequences
s12B — 100% in the year brought into use for PV solar not exceeding 1MW; otherwise 50/30/20. s12BA — 125% in the year brought into use, for new and unused assets brought into use on or after 1 March 2023 and before 1 March 2025. Expired. - s12B and s12BA are mutually exclusive for the same asset. s8(4)(nA) — the s12BA add-on. On a disposal before 1 March 2026, 25% of the cost that has been recouped is included in income in addition to the s8(4)(a) amount, the two together being capped at the total allowed under s12BA (125% of cost). On a disposal on or after 1 March 2026, s8(4)(nA) does not apply, leaving only the ordinary s8(4)(a) recoupment of	[WAITING FOR INPUT]: the capacity of the existing on-site solar, its cost, when it was brought into use, and which section was claimed. That last fact decides the disposal rule. On the assumed facts — 800kW, R18m, brought into use 1 October 2024, inside the s12BA window: s12BA claimed: R18m × 125% = R22.5m deduction in FY2025 · tax R6.075m s12B would have given: R18m × 100% (≤ 1MW) = R18m · tax R4.86m. The enhanced allowance was worth an extra R1.215m. - The extra 25% (R4.5m) is a permanent difference — total deductions exceed cost — so it reduced the FY2025 effective tax rate and is a reconciling item. It is not deferred tax. Disposal, and why the date is the whole answer. Assume the asset is sold for R15m, below its R18m cost: Sold before 1 March 2026 → s8(4)(a) recoups R15m (proceeds, below cost) plus s8(4)(nA) adds 25% × R18m = R4.5m → R19.5m

Legislation — what the Act says	Application to Axion — tax consequences
proceeds limited to cost, less tax value. • s8(4)(a) applies instead where the allowance was claimed under s12B. • s11(d) allows repairs; an improvement is capital and falls into s12B, which covers improvements to a qualifying asset.	into income · tax R5.27m, subject to the 125% cap of R22.5m • Sold on or after 1 March 2026 → s8(4)(nA) falls away → recoupment is s8(4)(a) only = R15.0m · tax R4.05m • Axion's FY2026 ended on 30 June 2026, which is after 1 March 2026, so the milder rule applies to any disposal now — a favourable, precise, date-driven point. • The roof point, and IT39 Example 3 is almost exactly this installation. In the guide, a factory roof was strengthened to carry solar panels; neither the roof nor the strengthening cost qualified, because the roof was integrated with the building, not with the solar system, and its useful life exceeded that of the panels. So any strengthening of the Johannesburg 1 roof is outside the s12B cost base — while the panels' own mounting frames and foundations are inside it. • Upgrading rather than disposing. Replacing failed panels with equivalent panels is a repair, deductible in full under s11(d) (see IN 74). Replacing them with higher-output panels is an improvement under s12B(1)(i), at the same 100% rate for a sub-1MW array. Note that s12BA made no provision for improvements at all, so nothing can be added to a 12BA asset at 125%.

Part 7 — The four options compared

One page. If the task asks you to compare rather than to analyse a single option, this is the answer skeleton. All figures are on the assumed facts in the front of this document.

	Part 1 — PPA	Part 2 — Direct investment	Part 3 — Wheeling	Part 4 — Long offtake
Does Axion own an asset?	No	Yes, if it owns directly	Depends who owns the plant	Not of itself
Capital allowance	None	s12B 50/30/20, s12U 100%	Follows Part 1 or Part 2	None
Main deduction	s11(a) electricity	s12B, s12U, s24J interest	s11(a) electricity plus wheeling	s11(a), year by year
FY2027 deduction	R88.0m	R250.0m	R100.0m	R88.0m
Cash tax saved, FY2027	R23.76m	R67.50m	R27.00m	R23.76m
First three years	R71.28m	R128.25m	R81.00m	R71.28m
Shape of the benefit	Level , continues for the contract life	Front-loaded , exhausted after FY2029	Level	Level, but includes wasted volume
Is it permanent?	Yes — a true cost	No — a deferral. s8(4) (a) recoups on disposal	Yes	Yes
Capital required	Limited	R550m	Depends on ownership	None
VAT	Input tax claimable — neutral	R67.5m input tax on the plant — timing benefit	Claimable on both supplies	Neutral
Carbon tax saving	Nil — Scope 2	Nil — Scope 2	Nil — Scope 2	Nil — Scope 2
Deferred tax	Minimal, unless IFRS 16 applies	Large DTL — R59.94m by FY2027	As Part 1 or 2	DTA if an IAS 37 provision arises
The risk to flag	IFRS 16 may make it a lease	Structure decides who claims — R67.5m, R33.75m or nil	Wheeling costs and losses erode the saving	Paying for electricity not used

- **The one-sentence conclusion, if a task asks you to recommend.** Direct investment delivers by far the largest tax benefit in the first three years — **R128.25m against R71.28m** — but it is a **deferral, not a saving**, it needs **R550m of capital** on a balance sheet already carrying R4 850m of borrowings, and **its entire value depends on Axion itself owning the plant**. A PPA delivers less, later, but permanently, with no capital and no structuring risk.
- **Then reach a decision.** If the task gives you gearing or covenant constraints, they should drive the answer; if it gives you spare debt capacity and a clear ownership structure, the allowances should. An unconcluded comparison is an incomplete task.

Part 8 — Answer structure for the day

	Step	What to write
1	Name the option	Which of the four is the task actually about? If it names one, work only that part of this document.
2	Identify who owns and who claims	Ownership, bringing into use, own trade, production of income — all four in the same taxpayer. State the consequence for Axion.
3	Work each cost element to its section	Plant → s12B. Roads and fences → s12U if above 5MW. Connection → s12B, s13quin or s11(e). Land → nothing. Do not lump them together.
4	Apply the rate and compute	Show the calculation. 50/30/20 or 100%. No apportionment. Give the rand deduction and the tax at 27%.
5	Check the timing	Date brought into use against 30 June. Quantify the effect of slipping past year end.
6	Check utilisation	Is there taxable income to absorb it? If not, s20 caps the carry-forward.

	Step	What to write
		Compute it.
7	Deal with disposal	s8(4)(a) recoupment capped at allowances claimed; CGT at 21.6% on any excess over cost. s8(4)(nA) if s12BA was claimed.
8	Cover the other taxes briefly	VAT input and output. Carbon tax falls on Scope 1, so a renewable option saves little or none. Dividends tax on the SPV route.
9	State what you need	Use the “what to ask for” list at the end of the relevant part. Specific requests, not generic ones.
10	Conclude	Recommend. If the numbers are close, say so and decide on judgement — but reach a conclusion.

Eight things that will cost you the task. The last four come straight out of SARS Guide IT39 and are the ones most candidates will miss.

- **Claiming s12BA.** It expired on 28 February 2025. Say it has expired, then use it to quantify what was lost.
- **Putting the transmission line into s12U.** s12U is roads and fences only — and IT39 2.2 says transmission assets generally fail s12B too.
- **Assuming Axion gets the allowance.** If the plant sits in an SPV, or the partner owns it, or a producer owns it, Axion gets nothing but s11(a).
- **Apportioning s12B for part of a year.** It is not apportioned. s11(e) is.
- **Claiming s12U because s12B was available.** s12B accepts any trade; **s12U requires the taxpayer’s trade to be the generation of electricity.** Axion’s trade is data centres.
- **Forgetting accession.** Plant permanently affixed to land Axion does not own belongs to the landowner — Axion pays and claims nothing unless s12N applies.
- **Electing s11(e) because it gives more.** IT39 9.1: s11(e) is excluded wherever s12B, s12BA or s12U may be granted, even if s11(e) would be larger.
- **Apportioning a mixed-source asset.** IT39 2.1.4: an asset generating from renewable **and** non-renewable sources does not qualify at all — there is no “to the extent”.

Part 9 — Tax consequences from the other pre-release documents

Parts 1 to 8 deal with Document 7 and the renewable options. Everything below arises from a different document in the pre-release, and is kept separate for the same reason: so that a task on one document can be answered from one place. Documents 1 and 2 are introductory and raise no separate tax consequence, beyond the point that Axion is a South African resident company and is therefore taxed on its worldwide income.

9.1 Document 3: board strategy day — R3–5bn capex, funding, African expansion

Legislation — what the Act says	Application to Axion — tax consequences
• s11(a), s24J — interest. Interest on borrowings is deductible where incurred in the production of income and not of a capital nature, accrued on a yield-to-maturity basis. • s23M limits interest owed to a connected creditor not subject to SA tax (Part 2.6). • s24I — foreign exchange. Exchange differences on a foreign currency debt or forward contract are included in or deducted from income as they arise, whether or not realised. • s9D — controlled foreign companies. Net income of a CFC (more than 50% of participation or voting rights held by SA residents) is imputed to the SA shareholder, subject to exemptions including the foreign business establishment exemption. • s6quat grants a credit for foreign taxes on foreign-sourced income, limited to the SA tax on that income. • s31 — transfer pricing. Cross-border transactions between connected persons must be on arm's length terms; the difference is adjusted and may be treated as a deemed dividend. • Dividends tax 20%, subject to treaty relief for non-resident shareholders. • [NOT VERIFIED — read s9D, s6quat, s31 and s24I before relying on the detail.]	• The feasibility model is the biggest tax point in this document. Document 3 defines initial feasibility using “incremental pre-tax cash flows” and a “pre-tax project NPV”. Capital allowances are a cash flow, and on Project X alone they are worth R128.25m over three years. A pre-tax NPV is acceptable as an initial screen, but the final decision stage must be post-tax, or the whole of Section A is ignored in the decision. • The same applies to the discount rate: the cost of debt must be taken after tax at $k(d) \times (1 - 27\%)$. Using a pre-tax NPV with an after-tax WACC, or the reverse, double counts or omits the shield. • The three funding options have different tax outcomes: • Additional debt → interest deductible under s24J. On R1bn at 11%, that is R110m a year, worth R29.7m of tax. Check s23M only if the lender is connected and not subject to SA tax. • Investment from existing shareholders → if equity, no deduction, and distributions carry dividends tax. If shareholder loans, the interest is deductible but s23M and s31 must both be considered — Ubuntu holds 35% and Horizon 30%. • A new strategic investor → if non-resident, dividends tax at 20% subject to treaty relief, and s31 applies to any funding it provides. • “Selected African markets” (Document 3, page 7) opens the cross-border set. If Axion invests through foreign subsidiaries: s9D may impute the CFC's net income to Axion; s6quat credits foreign tax; foreign withholding taxes apply to dividends, interest and management fees; and s31 governs intragroup funding and fees. [WAITING FOR INPUT]: whether expansion is by subsidiary, branch or joint venture, and in which countries. • s24I is likely live even without offshore expansion. Data centre plant is typically imported. Foreign currency payables and any hedges give rise to exchange differences taxed or deducted as they arise, creating volatility in taxable income that does not track accounting profit.

9.2 Document 4: ownership, the Employee & Empowerment Trust, and a new investor

Legislation — what the Act says	Application to Axion — tax consequences
• s8C — equity instruments acquired by virtue of employment. A gain on the vesting of a restricted equity instrument acquired by reason of employment is included in the employee's income — taxed at marginal rates, not as a capital gain. Vesting occurs when the restrictions lift. • Dividends on a restricted equity instrument may be taxed as income rather than qualifying for the s10(1)(k)(i) exemption, under the provisos to that section. • s11(IA) allows the employer a deduction for shares provided to employees under a broad-based or qualifying scheme. • s25B / the conduit principle. Amounts vested in a trust beneficiary are taxed in the beneficiary's hands; amounts retained are taxed in the trust. • s64F(1)(a) exempts dividends tax where the	• The Axion Employee & Empowerment Trust (10%) is the tax trigger in this document. [WAITING FOR INPUT]: the scheme rules — are the shares restricted, when do they vest, who are the beneficiaries, and is the trust vesting or discretionary? • If the shares were acquired by virtue of employment and are restricted, s8C applies on vesting: the gain is taxed as income in the employees' hands, and Axion carries PAYE withholding and IRP5 obligations at that point. This is a payroll and cash-flow event for Axion, not just a shareholder matter. • Worked example. Assume the trust holds shares with a base value of R80m that vest at a market value of R200m. The R120m gain is included in the participating employees' income under s8C — at a 45% marginal rate that is R54m of employees' tax, which Axion must withhold and pay over. A growth story that increases the value of Axion also increases this liability. • Dividends tax on the current register — the outcome differs by shareholder: • Ubuntu Infrastructure (Pty) Ltd, 35% → SA resident company →

Legislation — what the Act says	Application to Axion — tax consequences
beneficial owner is a South African resident company, subject to the declaration and undertaking. • s103(2) permits SARS to disallow the set-off of an assessed loss where a change of shareholding was effected solely or mainly to utilise that loss. • [NOT VERIFIED — read s8C, s11(IA), s25B and s103(2) before relying on the detail.]	exempt under s64F, with the declaration and undertaking. • Kabelo Moleke 18% and David Low 7% → individuals → 20% dividends tax withheld. On a R100m distribution that is R5m and R1.4m respectively. • Horizon Digital Infrastructure Fund, 30% → [WAITING FOR INPUT]: its legal form and tax residence. A non-resident may claim treaty relief; a partnership or CIS flows through to its investors. Do not assume it is exempt. • Employee & Empowerment Trust, 10% → the treatment depends on the trust deed and the s8C status of the shares. Dividends on restricted equity instruments may be taxed as income rather than exempt. • If a new strategic investor acquires an interest (Document 3): the share issue proceeds are capital, not gross income, and the issue costs are not deductible. Where the investor takes control of an entity carrying an assessed loss — most likely a project SPV under Route C — s103(2) becomes relevant, and commercial substance for the transaction must be documented.

9.3 Document 5: Metroloop, the undeveloped land, and the revenue streams

Legislation — what the Act says	Application to Axion — tax consequences
• Gross income (s1). Amounts received by or accrued to a resident, other than of a capital nature. Accrual arises when the taxpayer becomes unconditionally entitled to the amount. • s10(1)(k)(i) exempts dividends received from a South African resident company. • s24C allows a deduction for future expenditure to be incurred under a contract, where the income under that contract has already been received and the expenditure will be financed from it. The allowance is reversed in the following year. • s22(3)(a)(ii) — where a capital asset is applied as trading stock, it is brought into trading stock at market value. • Paragraph 12(2)(c), Eighth Schedule — a change of intention from capital asset to trading stock is a deemed disposal at market value, crystallising a capital gain to that date. Gains after that date are revenue. • s11(a) read with s23(g) — no deduction for expenditure not incurred in the production of income or not laid out for trade purposes. • Equity-accounted earnings are not gross income — only dividends actually received or accrued are. • [NOT VERIFIED — read s24C, s22(3) and paragraph 12(2) before relying on the detail.]	• Metroloop (Pty) Ltd — 40%, equity accounted. The share of profit recognised in Axion's accounts is not taxable; only dividends from Metroloop are, and as a dividend from an SA resident company it is exempt under s10(1)(k)(i). • So equity-accounted earnings are a permanent difference and a reconciling item in the IAS 12 effective tax rate note — they raise accounting profit without raising the tax charge. On disposal of the 40% interest, CGT at 21.6% applies on proceeds less base cost. • The undeveloped land is the sharpest point in this document, and the CFO has already flagged its accounting implications. The tax answer turns entirely on what management decides to do with it: • Held for Axion's own future data centre → remains a capital asset. No allowance on the land, ever. Any building later erected on it attracts s13quin at 5%. • Sold as it stands → CGT at 21.6% on proceeds less base cost. • Developed for resale, or subdivided and sold → a change of intention. Under paragraph 12(2)(c) there is a deemed disposal at market value on the date intention changes, crystallising the capital gain to that date at 21.6%; the land comes into trading stock at that market value under s22(3)(a)(ii); and all subsequent profit is revenue, taxed at 27%. • Worked example. Land with a base cost of R40m and a market value of R110m on the date plans change. Deemed disposal → gain R70m × 80% × 27% = R15.12m of CGT, payable although nothing has been sold. If it is later sold for R150m, the further R40m is revenue, taxed at 27% = R10.8m. Total R25.92m, against R23.76m had it simply been sold as a capital asset — and the CGT falls due far earlier. The decision about the site is a tax decision, not only an accounting one. • Holding costs while the site is undeveloped — rates, security, maintenance — are not deductible under s11(a) read with s23(g), because no trade is carried on in respect of the land and no income is produced from it. [WAITING FOR INPUT]: whether any costs have been claimed to date. • The revenue streams (colocation, power recharge, interconnection, ancillary) are gross income as Axion becomes unconditionally entitled. Contracts are invoiced monthly and Axion provides no customer financing, so accrual is straightforward and no s24J timing issue arises on receivables. • The power recharge is consideration for a standard-rated supply →

Legislation — what the Act says	Application to Axion — tax consequences
	output VAT at 15%, with input tax on the electricity purchased claimable in the same period. • Contracted capacity (40MW) exceeds utilised capacity (35MW) — customers contract before they use. Where a customer pays in advance or a take-or-pay minimum is billed ahead of use, the amount is gross income on receipt, even though the service has not been rendered. s24C may then allow a deduction for the future expenditure Axion must still incur under that contract. [WAITING FOR INPUT]: the billing terms on contracted-but-unutilised capacity. • Borrowings grew from R3 150m to R4 850m and finance costs to R375m. Deductible under s24J. s23M is not in point for the SA bank syndicate — see Part 2.6.

9.4 Document 6: JHB4 project funding and delivery

Legislation — what the Act says	Application to Axion — tax consequences
• s11A — pre-trade expenditure. Expenditure incurred before the commencement of a trade, which would have been deductible had the trade been carried on, is deductible in the year that trade commences, and only against income from that trade. The excess is carried forward. • s24J — interest accrues and is deductible as incurred; interest received or accrued is included in income on the same basis. • Interest income and interest expense are not netted for tax. Each is tested separately: income is included in gross income, expenditure must satisfy s11(a). • s13quin — 5% a year, but only once the building is used by the taxpayer. • s11(e) — wear and tear on the plant inside the facility, apportioned, per IN47. • VAT s16(3) / s17 — input tax is claimable on goods and services acquired for the purpose of making taxable supplies, whether or not supplies have yet been made. • [NOT VERIFIED — read s11A and confirm its interaction with an existing trade before relying on it.]	• The central judgement: is JHB4 a new trade, or an expansion of the existing one? Axion already operates five data centres. If JHB4 is an expansion of the same trade, expenditure and interest are deductible as incurred, against all of Axion's income. If it is treated as a separate trade, s11A defers the deduction to the year JHB4 commences trading and ring-fences it against JHB4's own income. The difference is years of cash tax. Raise it as the question it is, and argue the expansion view on the facts — same customers, same services, same management. • The interest asymmetry is the sharp technical point in this document. Undeployed drawdowns sit on short-term deposit. That deposit interest is gross income, taxable in full as it accrues. The facility interest is a deduction that may be deferred under s11A. So Axion can be taxed on the income while the matching expense waits — the opposite of the accounting treatment. • The scorecard measure makes this concrete. "Net interest not capitalised" is defined as interest expense not capitalised less interest income on drawn but undeployed funds. For tax these are never netted. Do not read the scorecard figure as a taxable amount. • Worked example. Assume R400m drawn ahead of requirement for 6 months, deposit rate 7%, facility rate 10.5%. • Deposit interest earned = $R400m \times 7\% \times 6/12 = R14.0m$ — taxable in full, tax R3.78m • Facility interest on that R400m = $R400m \times 10.5\% \times 6/12 = R21.0m$ — deductible, or deferred under s11A • Net economic cost R7.0m; but if the deduction is deferred, Axion pays R3.78m of tax now on the income side alone. Drawing ahead of requirement costs more after tax than the R7.0m the scorecard shows. That strengthens the commercial case for drawdown discipline — a tax argument supporting an operational control. • IAS 23 against tax. For accounting, borrowing costs are capitalised into JHB4 (net of investment income on the temporary investment of those funds). For tax, the interest is deducted or deferred and the deposit interest is taxed currently. The two bases diverge → a temporary difference and deferred tax (Part 2.9). • s13quin on the building. JHB4 is new and unused, so 5% a year once it is used in Axion's trade. But Document 6 says it will be brought into service in phases as customer capacity is contracted, and s13quin requires use. [WAITING FOR INPUT]: the phasing plan, and whether the phases are physically distinct parts of the building — the allowance may begin phase by phase rather than on the whole building at first use. • The grid connection timing "remains critical" (Document 6). For tax that is not just a delivery risk: no allowance arises at all until the asset is brought into use. A slip past 30 June moves an entire year's deduction. • VAT is a real cash item on a R1.2bn facility. Input tax on

Legislation — what the Act says	Application to Axion — tax consequences
	construction is claimable now, even though JHB4 makes no supplies yet, because it is acquired for the purpose of making taxable supplies. At 15% on, say, R1bn of construction spend, that is R150m of input tax — a funding consideration for the drawdown profile in its own right. • s23M does not apply to this facility — the lenders are a syndicate of South African banks, subject to SA tax and not in a controlling relationship with Axion.

Verification status

Item	Status	Source
s12B(1)(h) and (i), s12BA, s12U — qualifying criteria, sources, thresholds, rates, cost base, no apportionment, foundations, improvements, prohibitions	Verified against the guide itself	SARS Guide IT39, 23 Nov 2024
Ownership and accession (superficies solo cedit); the three leasing scenarios; s12N	Verified	IT39 2.3; IN 119
The trade requirement — wide for s12B, restricted to generation for s12U	Verified	IT39 2.5
Transformers, transmission lines and batteries generally outside s12B	Verified	IT39 2.2
Mixed renewable and non-renewable sources disqualify the asset	Verified	IT39 2.1.4
s12U(3) pre-trade expenditure; s12U deduction cannot be postponed	Verified	IT39 6.3.1 and 6.3.2
s11(e) excluded where s12B, s12BA or s12U may be granted	Verified	IT39 9.1; IN 47
s11(o) — election, 10-year life, s12U excluded, connected-person bar	Verified	IT39 9.2; IN 60
s8(4)(a) and s8(4)(nA) mechanics and the 1 March 2026 pivot	Verified	IT39 9.3
s12B and s12L may both be claimed (different amounts, s23B)	Verified	IT39 9.4; IN 95
s13quin — new and unused; “mainly” means more than 50%	Verified	IN 107 Issue 2
Corporate 27%, dividends tax 20%, CGT inclusion 80% (21.6%), VAT 15%, s20 80% cap	Verified — unchanged in the February 2026 Budget	Practitioner commentary
s24H(3) and (4) — limitation and carry-forward of a partner’s deduction	Read the section — noted in IT39 2.3 and 6.2	—
s23M percentage and controlling relationship; s23A operating lease definition	Read the sections	—
s11A pre-trade expenditure and its interaction with an existing trade	Read the section — central to Part 9.4	—
s8C, s11(lA), s25B, s103(2) — Part 9.2	Read the sections	—
s24C, s22(3)(a)(ii), paragraph 12(2)(c) Eighth Schedule — Part 9.3	Read the sections	—
s9D, s6quat, s31, s24l — Part 9.1	Read the sections	—
Carbon tax threshold and rate; IN 47 Annexure A periods; IAS 12 paragraph references	Look them up before citing	—

- **IT39 has been read and the technical content of Part 2 follows it.** Note the guide’s own limitation: it is **not an “official publication”** under s1 of the Tax Administration Act, **creates no practice generally prevailing** under s5, and **is not a binding general ruling** under s89. Cite the section; use the guide for the detail.
- **Two guides were read and deliberately excluded.** The **s6C solar energy tax credit (IT37)** applies to **natural persons only**, ran from 1 March 2023 to 29 February 2024 and covered panels alone — it cannot apply to Axion, a company. The **Guide on the Ring-Fencing of Assessed Losses (s20A)** applies to **natural persons only**; companies, close corporations and trusts are outside it. s6C still appears once in Part 2.1, because **s12B(4)(h)** denies a s12B deduction where s6C or s12BA was allowed.
- **Every rand figure in this document is assumed.** The pre-release gives no capacity, cost, counterparty or structure for any option. The examples exist so the method is fluent; the figures arrive on the day.

